

MEMORANDUM ON GERMAN FOREIGN ASSETS

Germany has certain assets located abroad, very largely in the neutral countries. These assets fall into several categories: State assets (diplomatic buildings, Embassy bank accounts, etc.); semi-state assets (properties of corporations in which the German State has been either the sole or a substantial stockholder); private assets (holdings mainly of locally-incorporated companies, in which German nationals own, directly or indirectly, the controlling or a substantial interest, private bank accounts, contents of safe deposit boxes, etc.)

1. So far as the United Nations are concerned (except possibly Argentina and Turkey), it is proposed to allow retention of all German assets located within their borders. This decision is based mainly on political grounds, although the economic impossibility of realizing on such assets has also been a compelling factor. There is also the question of various U.S. commitments, such as the Inter-American resolutions of various Conferences.

2. No decision has as yet been reached with respect to German assets in two United Nations - Turkey and Argentina. The decision here is almost entirely a political one, there being no doubt that on economic (and other) grounds, these countries should be classed with the neutrals.

3. Assets in neutral countries. Attempts are now being made, in continuation of economic warfare campaigns which have been in progress for several years, to achieve United Nations control and power to dispose of such assets. (In practice, this work has been carried on by the U.S. and the U.K.)

a) German State assets. These have already been taken over by the U.S. and U.K. representatives in all of the neutral countries. It is believed that in Sweden the U.S.S.R. has participated in this control of the German State assets.

b) German semi-state and private assets. Demarches have been delivered to the neutrals by the U.S. and U.K. calling for control of such assets by these two countries. The French are joining in these demarches.

Proposal

It is proposed that German external assets of whatever sort be put at the disposal of a Commission to be set up under the control of the ACC. This Commission, under the vesting

decree